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Campus Schwäbisch Hall

Change Management

Tomas Benz

Dates for our lecture

- ▶ 22.03.2024
 - ▶ 12.04.2024
 - ▶ 19.04.2024
 - ▶ 14.06.2024
 - ▶ 21.06.2024
-
- ▶ From 09:45 am to 1 pm

Content

- ▶ Forces for Change
- ▶ Principles of Change
- ▶ Five Activities Contributing to Effective Change management
 - ▶ Motivating Change
 - ▶ Creating Vision for Change
 - ▶ Developing Political Support
 - ▶ Managing the Transition
 - ▶ Sustaining Momentum
- ▶ Elements of Change Enablement

Rate of Change

- ▶ „When the rate of change outside exceeds the rate of change inside, the end is in sight“

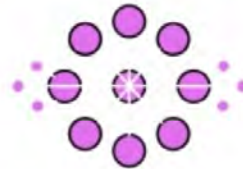
Jack Welch

Forces for Change

“Knowledge economy”



Virtual organizations



Mergers & acquisitions



Electronic commerce



Digital convergence

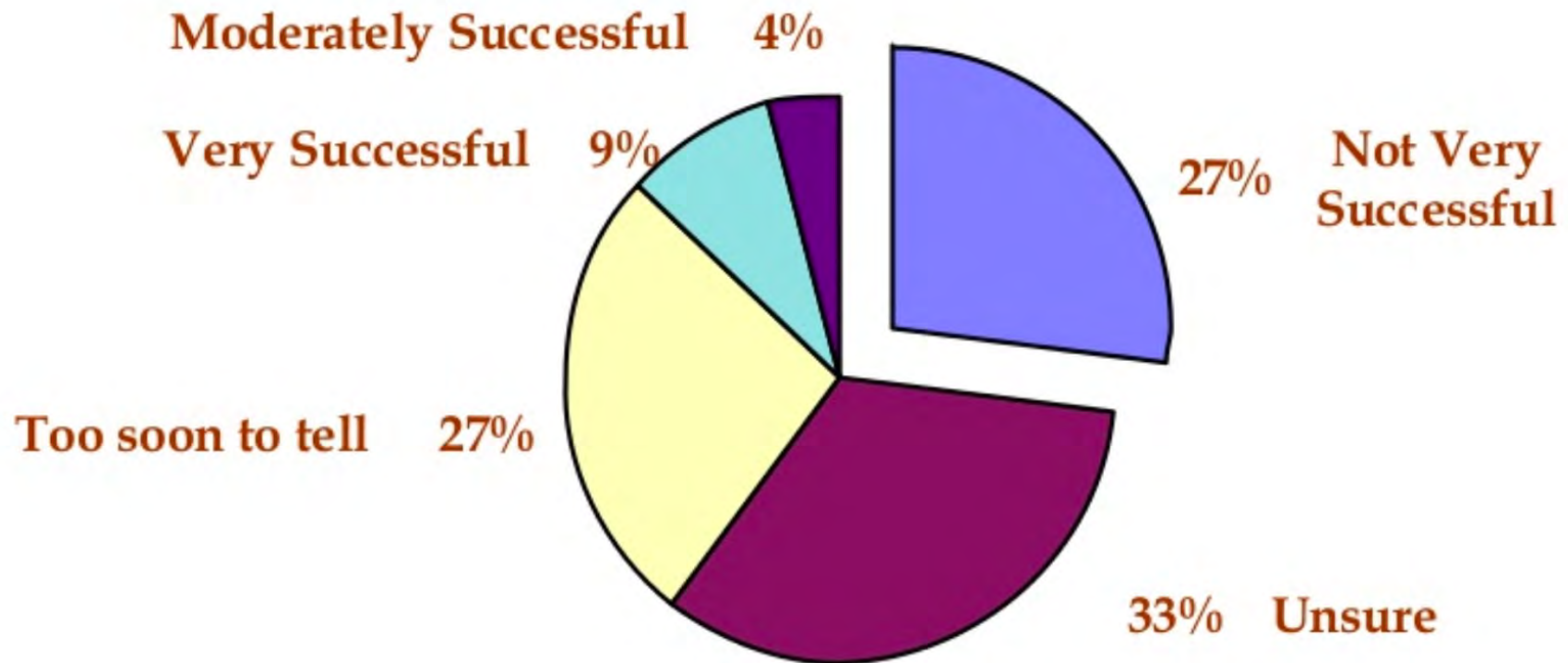


Privatizations



... are transforming the world of business

Rate of Success in Change Efforts



Two Sides of Change



Technical Side of Change



Human Side of Change

Principles of Change

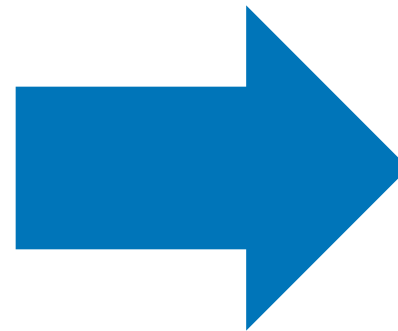
- ▶ Change is a process that can be enabled, not managed
- ▶ The change process must be linked to business and performance goals
- ▶ Building capacity to change is a strategic imperative
- ▶ Building capacity for change is an evolutionary process
- ▶ Effective change processes require a systemic view of the organization
- ▶ The change process involves both organizational and personal transitions
- ▶ Behavioral Change is a function of perceived need and occurs at the emotional, not the intellectual level

Principles of Change (2)

- ▶ Behavioral Change is a function of perceived need and occurs at the emotional, not the intellectual level
- ▶ Resistance to change is predictable reaction to an emotional process and depends on a person's perception of a change situation
- ▶ A handful of change enablement best practices account for the success of most change processes
- ▶ Change strategies are situational

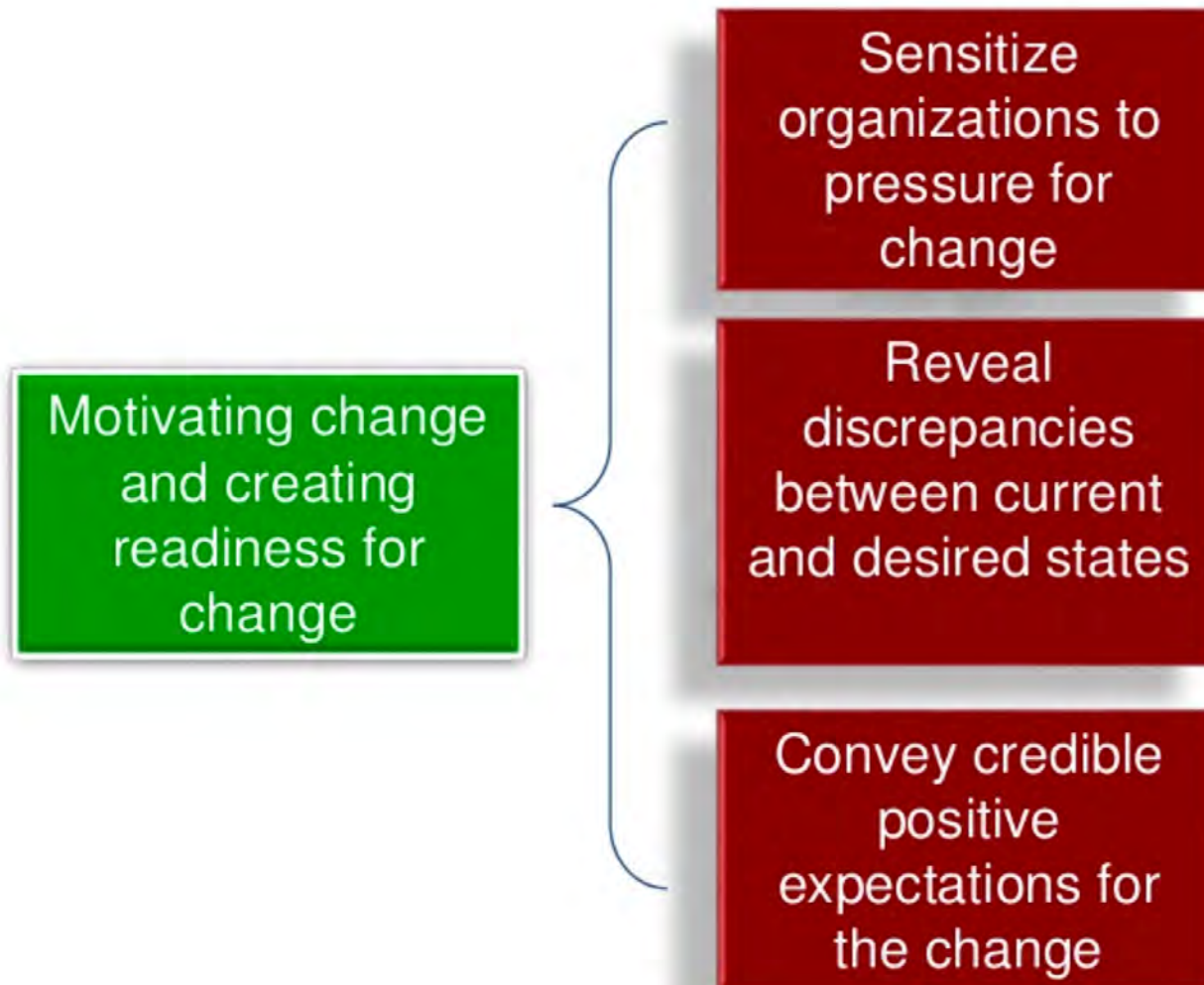
Five Activities Contributing to Effective Change Management

1. Motivating Change
2. Creating Vision of Change
3. Developing Political Support
4. Managing the Transition of Change
5. Sustaining Momentum

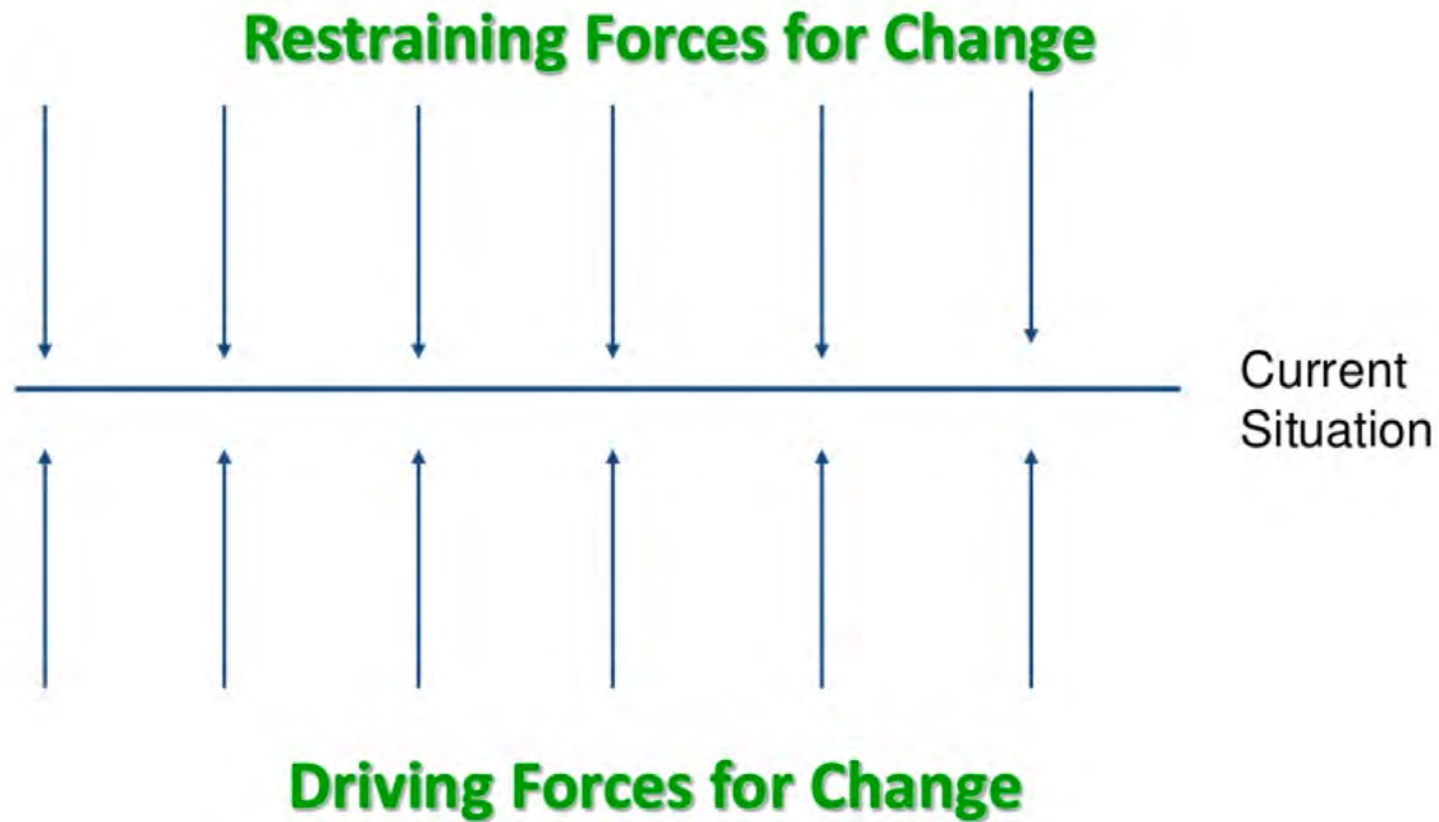


Effective
Change
Management

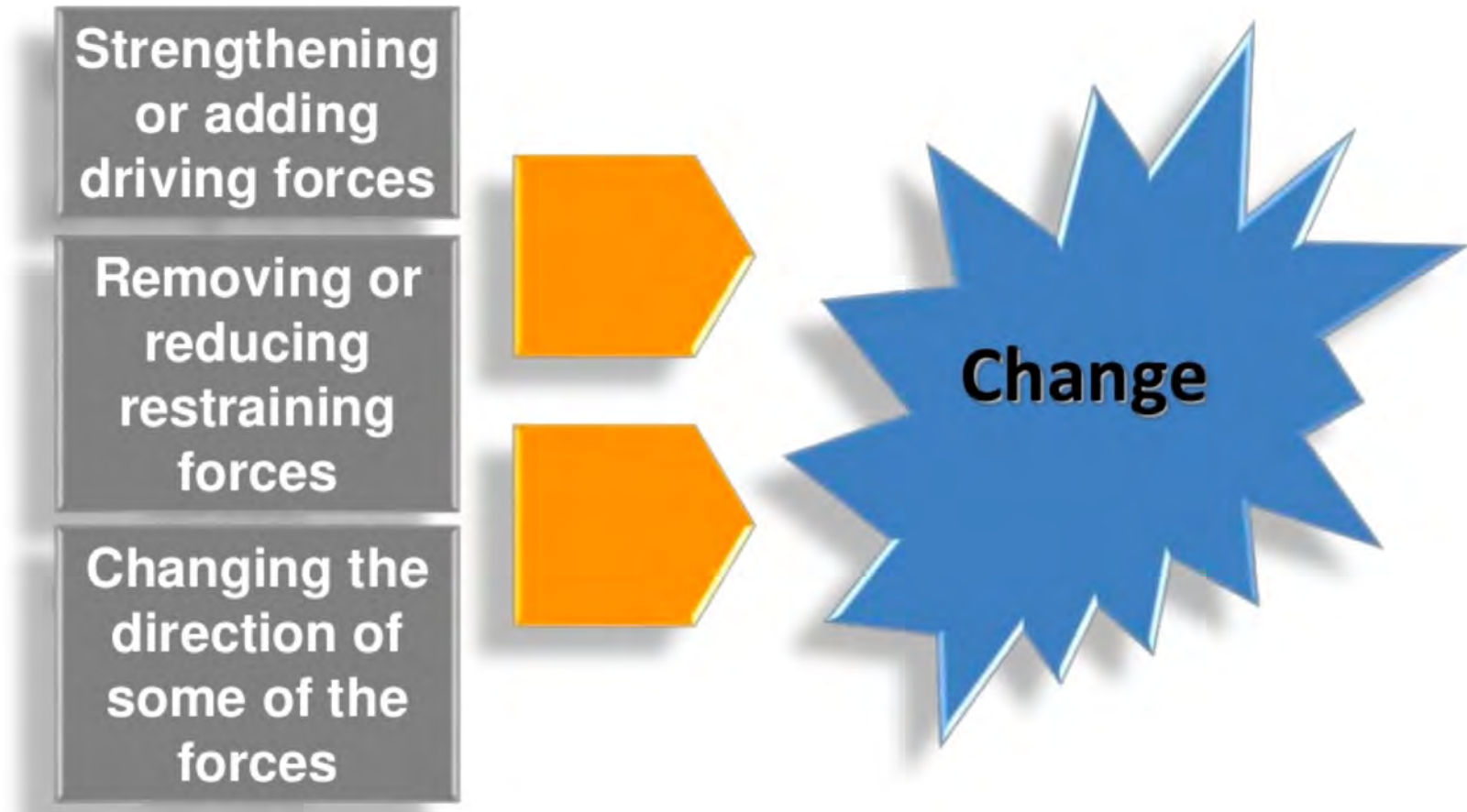
1. Motivating Change



Force Field Analysis Model



Force Field Analysis Model



Group Exercise

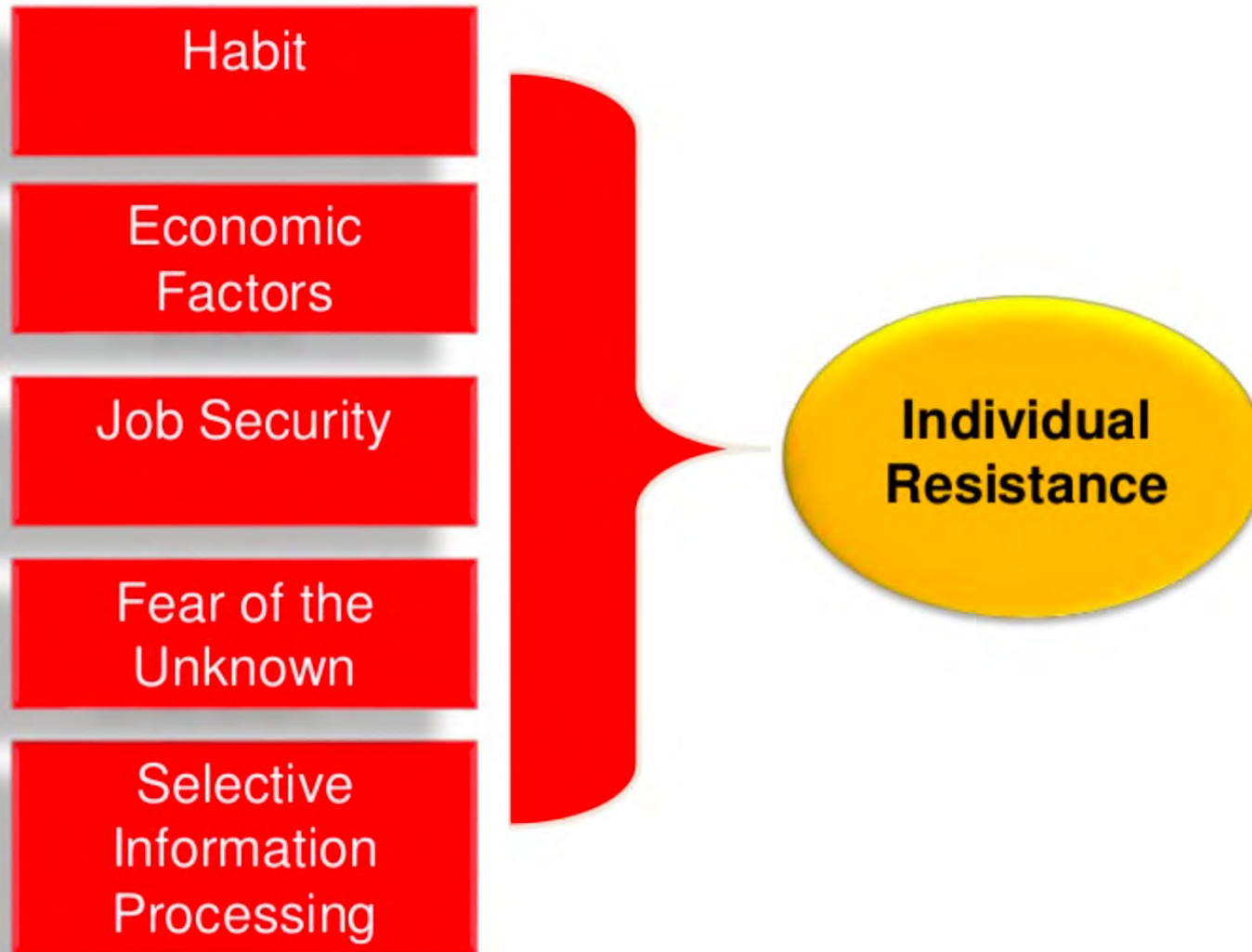
- ▶ Take the opportunity to think of a situation in your organization where Force Field Model could be demonstrated. Begin by identifying a change being instituted in your organization
- ▶ List driving forces
- ▶ List restraining forces

Barriers to Change

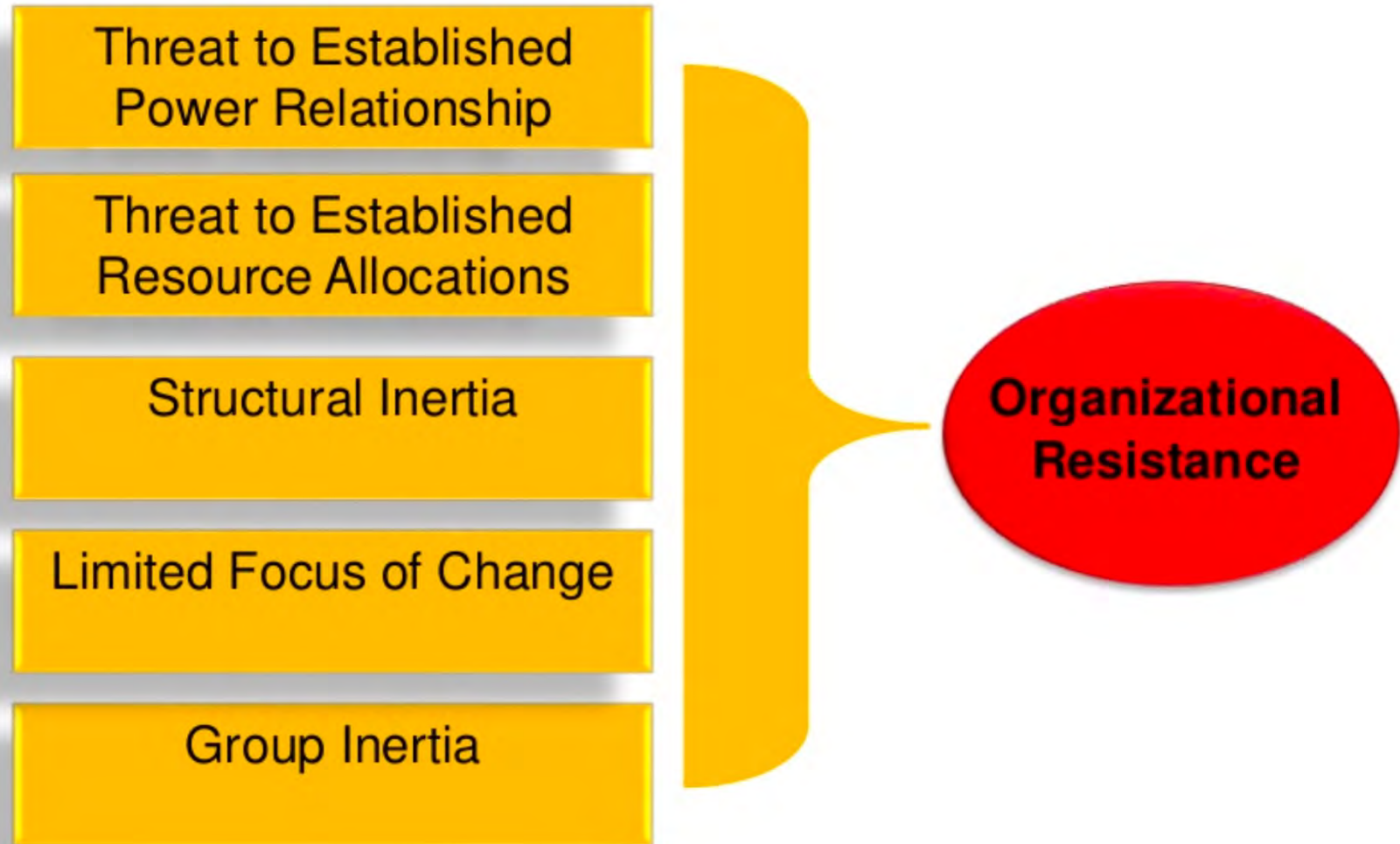


Source: Information Week, June 20, 1994

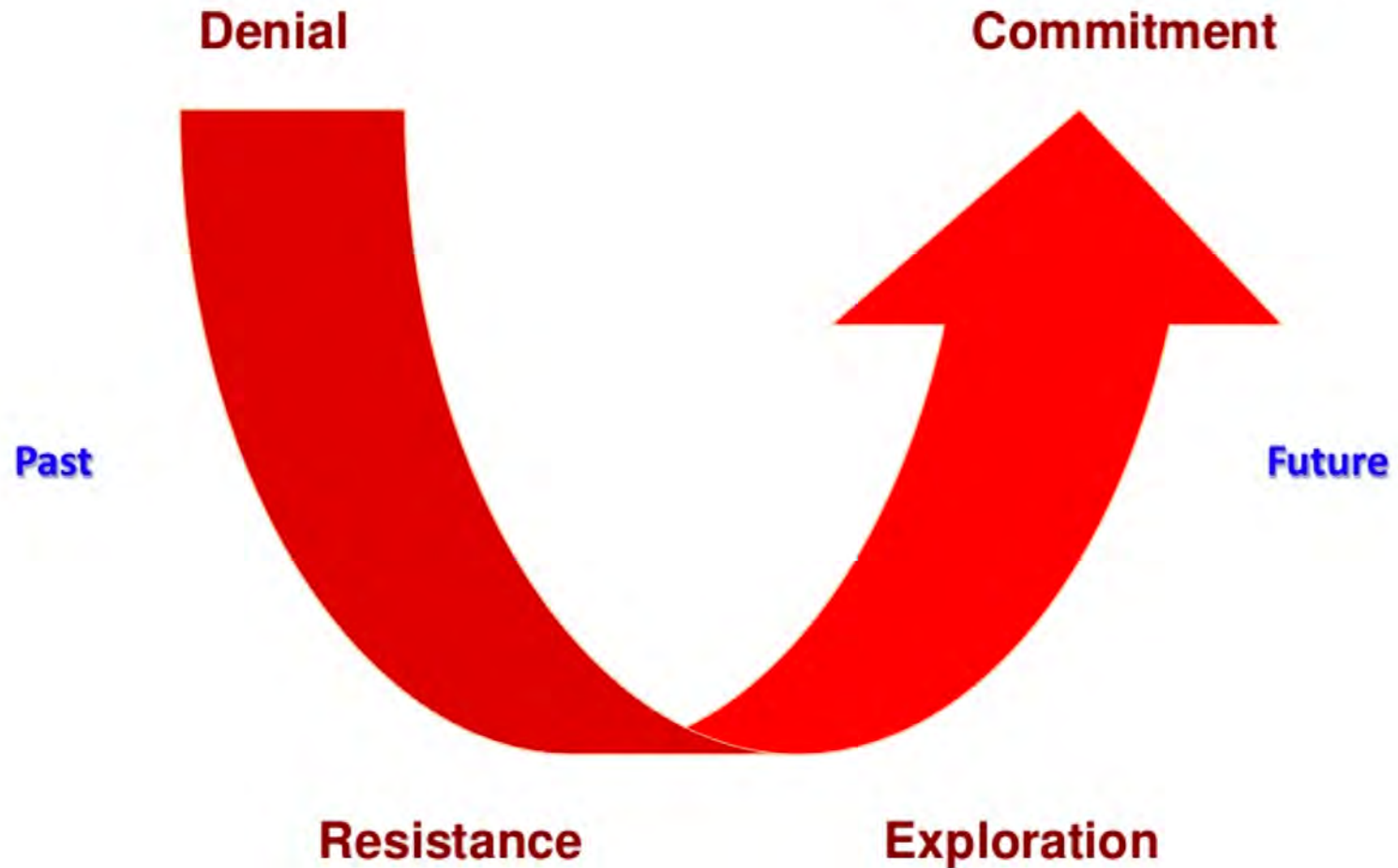
Individual Resistance



Organizational Resistance



Four Phases of Transition



Some of the Signs in Each Phase

Denial

- ▶ „How good things were in the past“
- ▶ „It can't happen here“
- ▶ Numbness
- ▶ Everything-as-usual attitude
- ▶ Refusing to hear new information

Resistance

- ▶ Anger
- ▶ Loss and hurt
- ▶ Stubbornness
- ▶ Blaming others
- ▶ Complaining
- ▶ Getting sick
- ▶ Doubting your ability

Some of the Signs in Each Phase

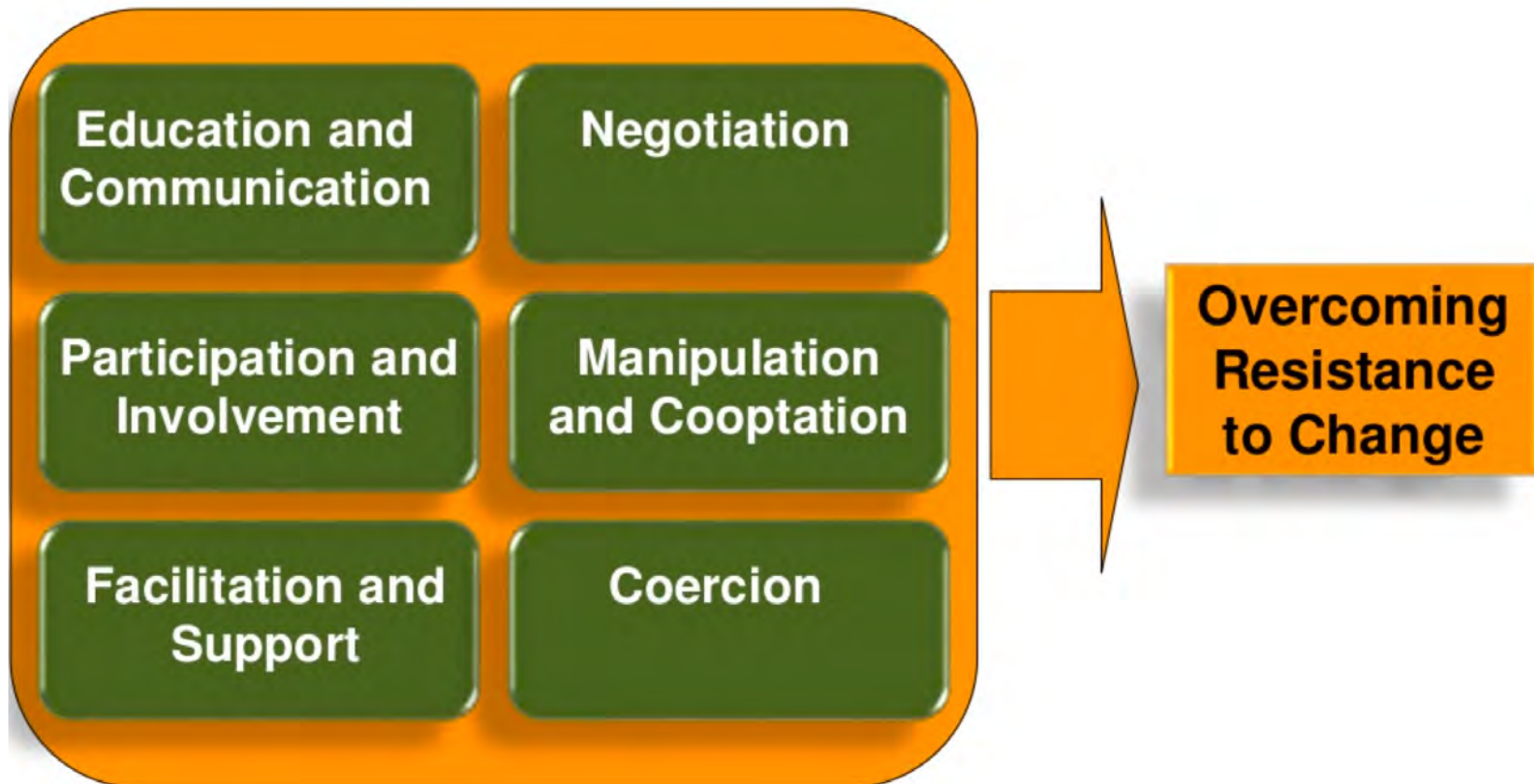
Exploration

- ▶ “What’s going to happen to me“
- ▶ Seeing possibilities
- ▶ Chaos
- ▶ Indecisiveness
- ▶ Non-binding work
- ▶ Energy
- ▶ Clarifying goals
- ▶ Seeing resources
- ▶ Exploring alternatives

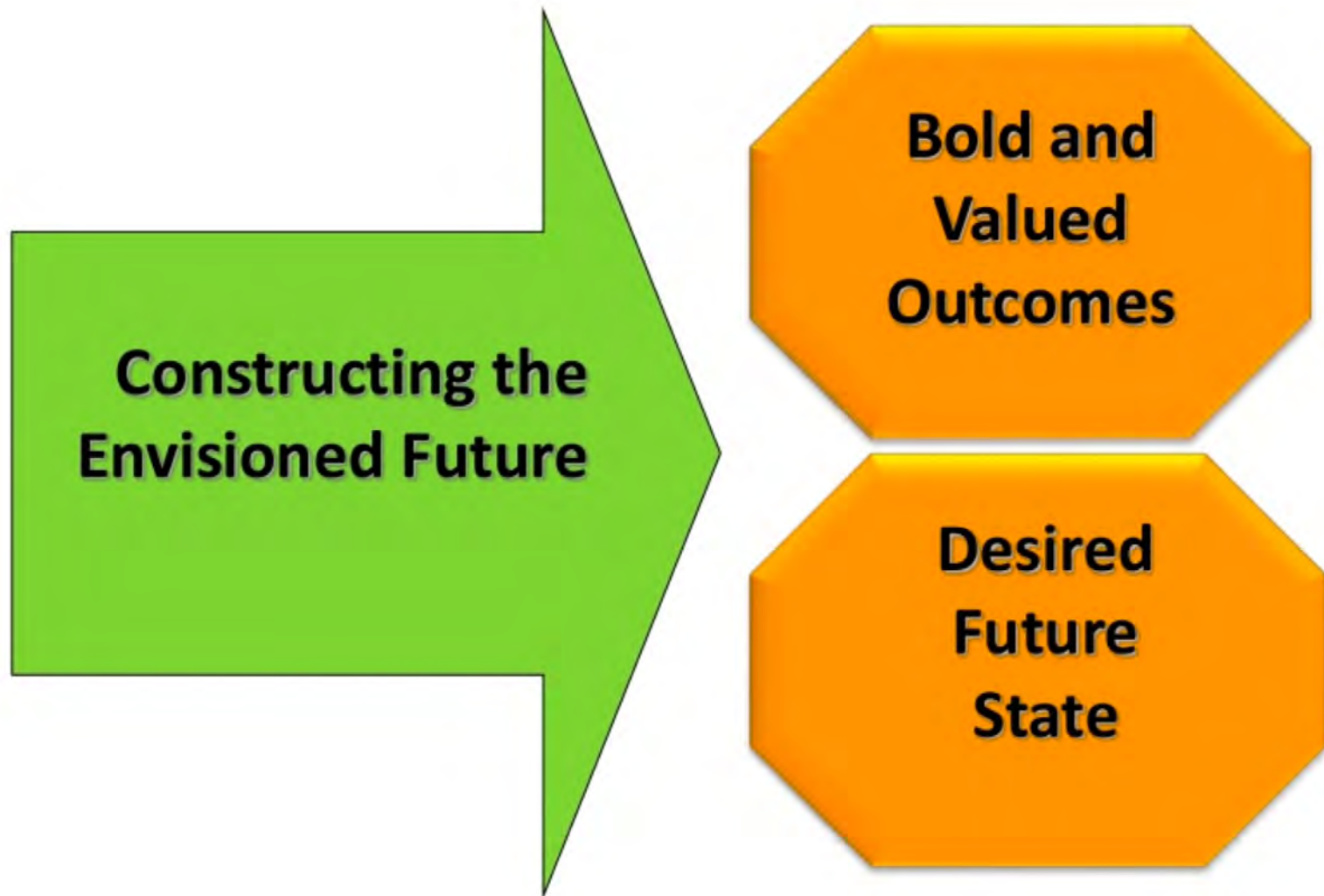
Comittment

- ▶ „Where am I headed“
- ▶ Focus
- ▶ Teamwork
- ▶ Vision
- ▶ Cooperation
- ▶ Balance

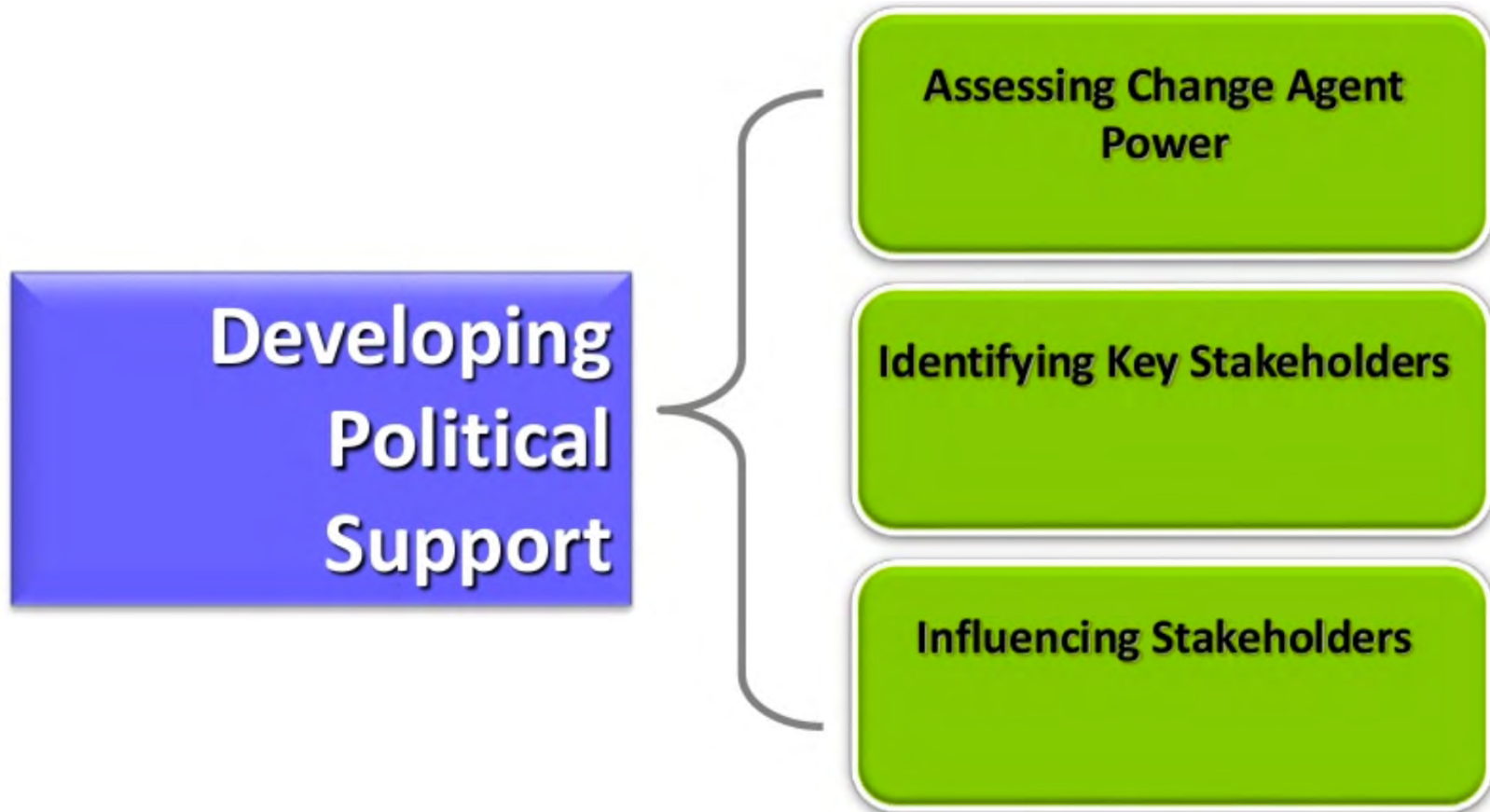
Overcoming Resistance to Change



2. Creating Vision of Change



3. Developing Political Support



Roles in Organizational Change

- ▶ **Change Sponsors**
are individuals or groups with the power to determine that change will occur
- ▶ **Change Agents**
are individuals or groups responsible for seeing that a previously determined change occurs
- ▶ **Change Target**
are individuals or groups who are asked to change something (knowledge, skills, or behavior) as a result of the change

Influencing Stakeholders

A set of questions designed to profile an individual stakeholder

▶ Power

- ▶ What is their source of power?
- ▶ What can they control: money, time, resources, people, information?

▶ What is their style of using power?

- ▶ Reluctant and occasional
- ▶ Make response to threats
- ▶ Assertive and direct
- ▶ Deception and subtlety

Influencing Stakeholders

Effect of Change

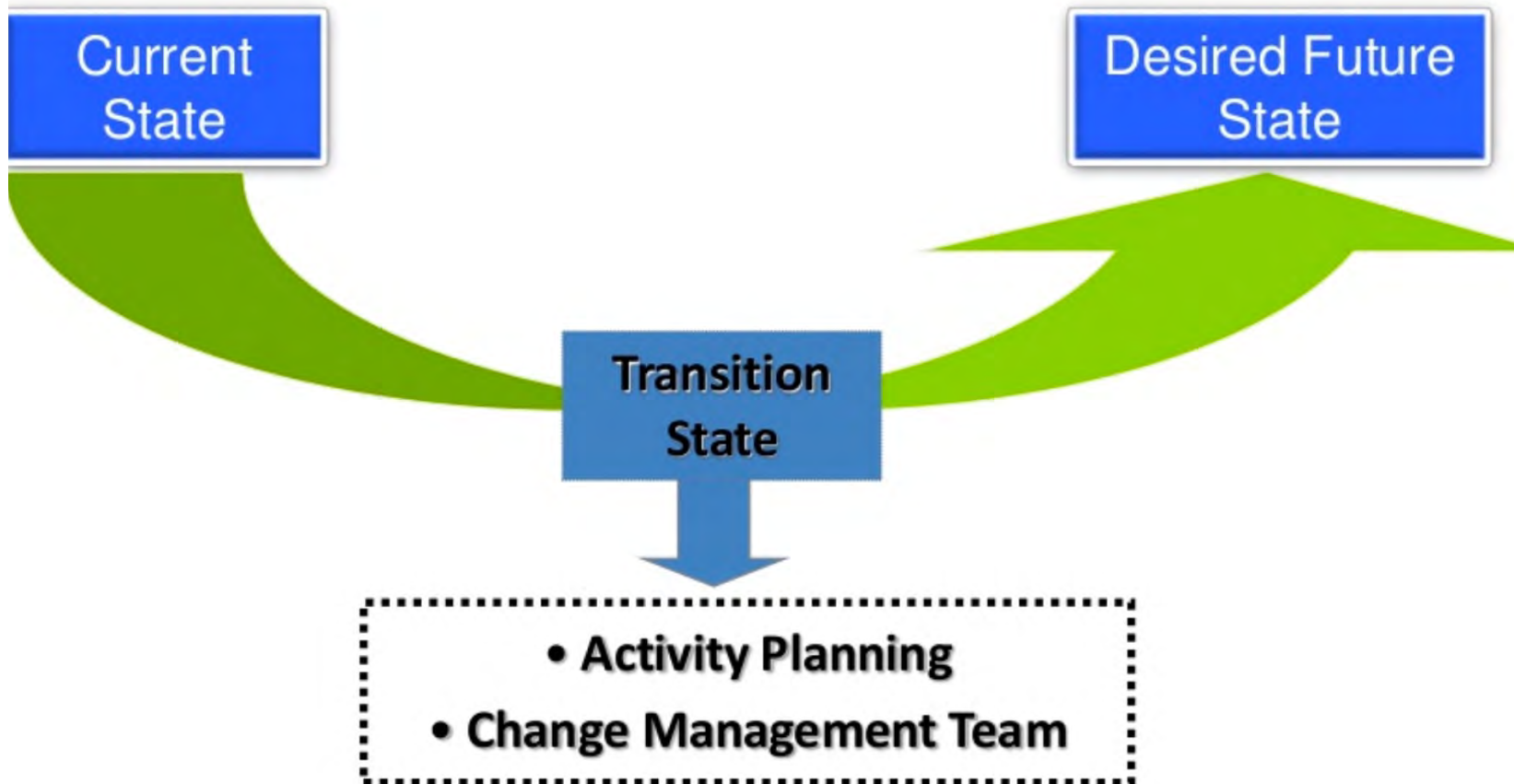
- ▶ How does the change really affect them?
 - ▶ Changes their power?
 - ▶ Affects other needs?
 - ▶ Affects goals, objectives and interests?
- ▶ What is their likely response to the change?
 - ▶ Opposition, uncertainty or support?
 - ▶ Action now or “wait and see”?
 - ▶ Open action or hidden action?
 - ▶ Individual action or acting with others?
- ▶ What would be the impact of their response?
 - ▶ Significant or limited?
 - ▶ Local or widespread?
 - ▶ Recoverable or permanent?

Influencing Stakeholders

Influencing Key Stakeholders

- ▶ What would make them more supportive for the change?
 - ▶ Information / understanding?
 - ▶ Involvement and ownership?
 - ▶ Changes in planned actions?
 - ▶ Direction from more senior managers?
 - ▶ Evidence of success of the change?
- ▶ What would make them less supportive of the change?
 - ▶ Personal threat?
 - ▶ Non-involvement in decisions?
 - ▶ Personal rivalries?
 - ▶ Insufficient evidence in 'trial period'?
(defined by them)

4. Managing the Transition



Change Management Team: Roles Example

- ▶ **Head (Executive Sponsor)**
 - ▶ Corporate Management
 - ▶ Key project accountability and ownership
 - ▶ Report to CEO on project outcomes/success
- ▶ **Head Organizational Development (Change Leaders)**
 - ▶ Coordinate overall change program
 - ▶ Develop clear strategies for change
 - ▶ Responsible and accountable for overall success
 - ▶ Develop individual and team change capability

Change Management Team: Roles Example

- ▶ **Communication Role (Change Agents)**
 - ▶ Provide clear communication to all key stakeholders on change related issues
 - ▶ Developp 2-way communication channels to foster ongoing organizational change
- ▶ **Human Resource Role (Change Agents)**
 - ▶ Provide expert HR advice on personal transitions and support
 - ▶ Provide Change Office & project based HR infrastructure
- ▶ **Project Leaders**
 - ▶ Take responsibility for key initiatives
 - ▶ Coordinate project team
 - ▶ Report to business unit GM and Change Office on project progress

Change Management Team: Roles Example

- ▶ **Leadership Advisory Role**
 - ▶ Develop leadership change management capability
 - ▶ Provide ongoing change advice to leaders
- ▶ **Process Co-ordination Role**
 - ▶ Coordinate project infrastructure & integration
 - ▶ Prioritize and pan overall Timeframes
- ▶ **Performance Management Role**
 - ▶ Establish clear project performance measures and reporting systems
 - ▶ Manage ongoing project performance
 - ▶ Report to Executive an overall progress

Critical Skills of Change Agents

**Understands
change dynamics**

**Appreciates
diversity**

**Anticipates and
manages
resistance**

**Has high
credibility**

**Understands
power and
influence**

**Manages
multiple tasks**

Sustaining Momentum



Providing Resource for Change

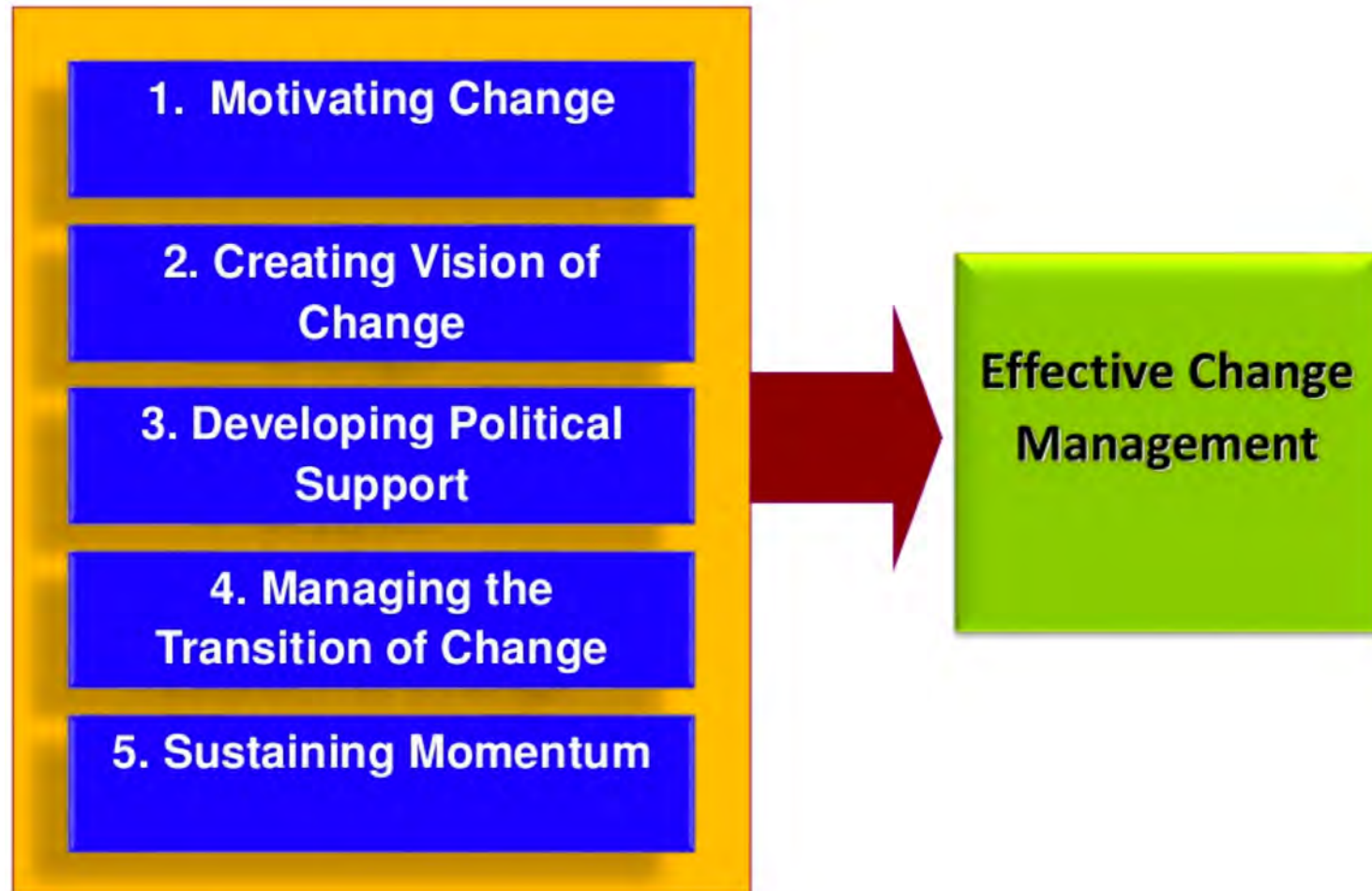
Building a Support System for Change Agents

Developing New Competencies and Skills

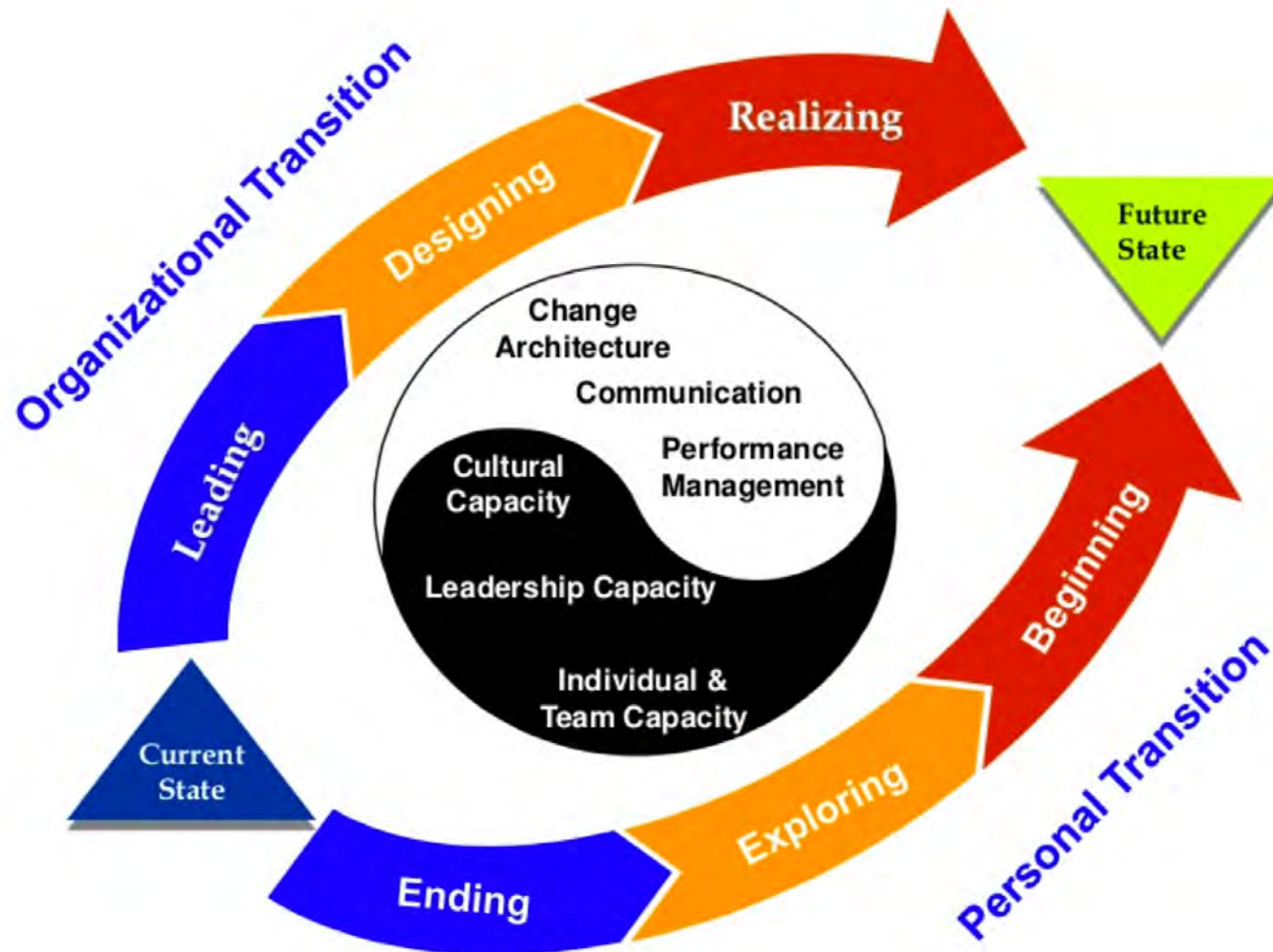
Reinforcing New Behaviors

Staying the Course

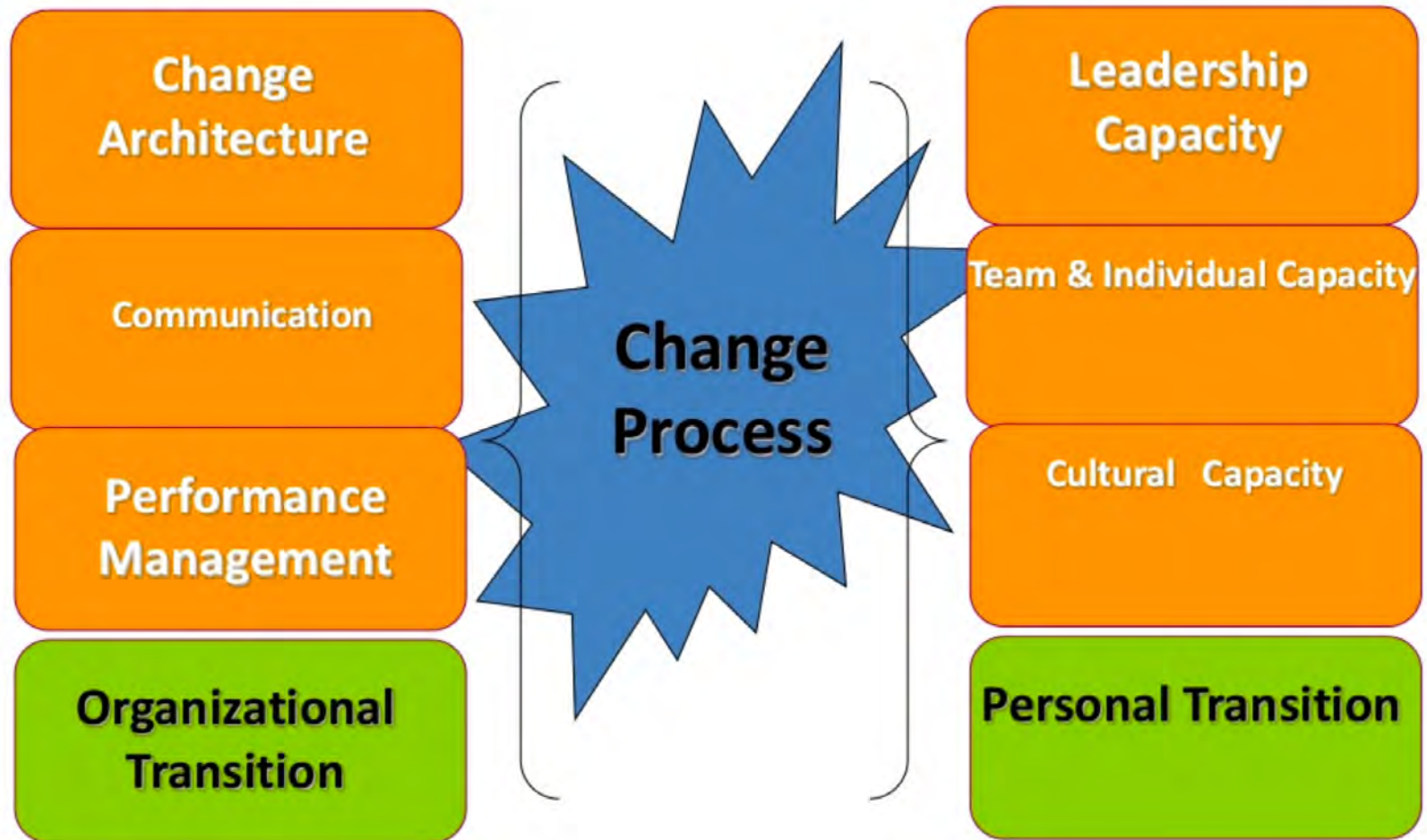
Five Activities Contributing to Effective Change-Management



Elements of Change Enablement



Elements of Change Enablement



Change Enablement – Best Practices

► **Change Architecture**

There is an explicit strategy and structure which define the nature and sequence of specific activities and resources required to facilitate the change process.

► **Communication**

An infrastructure and plan is in place to build awareness of change goals, communicate progress toward attainment of these goals, and encourage collective ownership of the change process and outcomes.

Change Enablement – Best Practices

► **Performance Management**

Human Resources processes – recruiting, training, measuring and rewarding – are aligned to drive new behaviors in support of the business vision.

► **Leadership Capacity**

Leaders' values and behaviors are aligned with the business vision; leaders possess the skills to drive the change process to completion, and accept the responsibility for doing so.

Change Enablement – Best Practices

► **Team & Individual Capacity**

Actions have been taken to increase individuals' and teams' ability to enact the business vision and operate effectively in the new environment.

► **Cultural Capacity**

The organization has assessed the alignment of the current culture with the change process and built new values and behaviors as appropriate to support it.



References / Recommended Further Readings:

- ▶ Thomas Cummings and Christopher Worley, Organization Development and Change, Cengage, 2019
- ▶ Lynn Fossum, Understanding Organizational Change, Crisp Learning Publication, 1989